DeFi & Advanced Crypto

Module 5 Study Guide

Risk Management in DeFi

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: The DeFi Risk Map

In this lesson: Smart Contract & Oracle Vulnerabilities; Bridge & Governance Hazards; Counter

Key points

- Categorized smart contract, oracle, bridge, governance, and counterparty risks.
- Analyzed a TT$10,000 yield farm position exposed to TT$6,000 in protocol losses.
- Established a systematic pre-deposit checklist for every new DeFi opportunity.

Examples from the lesson

- Today, we are opening Module 5, "Risk Management in DeFi," with Lesson 1: "The DeFi Risk Map."
- Since this is our very first lesson in Module 5, we are taking a step back to focus on building a bulletproof habit for evaluating decentralized finance.
- To protect your money, you need to navigate five distinct categories on the DeFi risk map.
- The final two categories involve human interaction and counterparty structure.
- To see how these five hazards stack up, let us walk through a practical scenario with concrete numbers.
- Imagine you convert TT$10,000 into 1,500 USDC to yield farm on a new lending protocol.
- Out of that initial TT$10,000 principal, you split your risk exposure across the protocol components.
- You face TT$4,000 in smart contract risk because the code was never audited by a reputable security firm.
- You carry TT$2,000 in oracle manipulation risk due to low liquidity on the price feed.
- You take on TT$2,000 in bridge risk when routing your funds across networks.
- Finally, you hold TT$2,000 in combined governance and stablecoin de-peg risk.
- If a major exploit occurs across the vulnerable smart contract and bad price oracle, you could suffer a sudden loss of TT$6,000 from your original TT$10,000 position.
- That leaves you with just TT$4,000 remaining in your wallet.
- If you had mapped these vulnerabilities beforehand, you would have seen that 60% of your capital was sitting in high-risk contracts without proper security audits.
- Make it a habit to write down these five categories for every new opportunity you discover.

- We defined the five main pillars of the DeFi risk map: smart contract, oracle, bridge, governance, and counterparty risks.
- We analyzed a TT$10,000 position to see how hidden vulnerabilities in un-audited code and weak price feeds can expose TT$6,000 to sudden loss.
- In our next lesson, Lesson 2: "Scam, Phishing, and Rug-Pull Defence," we will learn how to spot malicious actors, fake websites, and liquidity drains before they touch your wallet.

Lesson 2: Scam, Phishing, and Rug-Pull Defence

In this lesson: Deceptive Sites & Links; Malicious Approvals; Rug-Pull Red Flags; Verification R

Key points

- Avoid fake sites by using official bookmarks and inspecting domain spelling
- Prevent total wallet drains by enforcing custom token allowance limits
- Verify locked liquidity and revoke old smart contract permissions regularly

Examples from the lesson

- We are continuing Module 5, "Risk Management in DeFi", with Lesson 2: "Scam, Phishing, and Rug-Pull Defence".
- Imagine you have TT$ 6,800 stored in wrapped crypto assets inside your wallet, intended for a upcoming project.
- You accidentally visit a fake yield farm and approve what you think is a standard transaction to deposit TT$ 1,360.
- But instead of approving just TT$ 1,360, the fake dapp prompts an "unlimited allowance" request on your entire wallet balance.
- Your total wallet balance sits at TT$ 6,800, and your intended deposit was TT$ 1,360.
- However, the hidden malicious approval grants access to an unlimited cap, recorded as TT$ 6,800 of exposed funds.
- Once the contract executes, the malicious drainer function sweeps the entire TT$ 6,800 out of your wallet, leaving you with a net stolen amount of TT$ 6,800 and a remaining balance of exactly TT$ 0.
- A single unchecked approval wiped out your entire balance, not just the TT$ 1,360 you intended to trade.
- Step one: check the domain character by character to ensure there are no subtle misspellings.
- Step two: inspect the wallet prompt to verify the precise contract interaction and custom token allowance.
- Step three: use allowance-checker tools routinely to revoke old, active smart contract permissions you no longer use.
- We learned how scammers use fake search ads and deceptive links to trick you into signing malicious approvals, how an unlimited allowance on a TT$ 1,360 deposit can instantly drain a full TT$ 6,800 wallet balance, and how to protect your assets by locking down custom

allowances, verifying locked liquidity, and revoking stale permissions.

Lesson 3: Building Your Personal Safety System

In this lesson: Hardware Wallet Setup; Wallet Separation; Position Limits; Written Exit Plan.

Key points

- Cold storage and separated burner wallet habits
- Enforced 10% maximum position limits on high-risk pools
- Automated exit plans and regular permission revokes

Examples from the lesson

- We are in our DeFi and Advanced Crypto course, working through Module 5 on Risk Management in DeFi.
- Today we are diving into Lesson 3, Building Your Personal Safety System.
- This is "DeFi & Advanced Crypto", Module 5, "Risk Management in DeFi", and today we are covering Lesson 3: "Building Your Personal Safety System".
- Imagine you have a total DeFi portfolio valued at TT$ 50,000.
- You set a strict position limit rule that no single high-risk yield pool can hold more than 10% of your total capital.
- Following this rule, 10% of your TT$ 50,000 portfolio gives you a maximum position limit of TT$ 5,000 for that specific risk pool.
- You then assign TT$ 5,000 to the high-risk pool, while keeping the remaining TT$ 45,000 safely stored across your core holdings and cold wallet.
- If that high-risk protocol gets exploited overnight, your total loss is capped at TT$ 5,000, leaving your remaining balance of TT$ 45,000 untouched and secure.
- If your target is a 20% gain, take your profit off the table as planned rather than waiting for one more rally.

Recap checklist — can you say each one?

Lesson 1: The DeFi Risk Map

- ☐ Categorized smart contract, oracle, bridge, governance, and counterparty risks.
- ☐ Analyzed a TT$10,000 yield farm position exposed to TT$6,000 in protocol losses.
- ☐ Established a systematic pre-deposit checklist for every new DeFi opportunity.

Lesson 2: Scam, Phishing, and Rug-Pull Defence

- ☐ Avoid fake sites by using official bookmarks and inspecting domain spelling
- ☐ Prevent total wallet drains by enforcing custom token allowance limits
- ☐ Verify locked liquidity and revoke old smart contract permissions regularly

Lesson 3: Building Your Personal Safety System

- ☐ Cold storage and separated burner wallet habits
- ☐ Enforced 10% maximum position limits on high-risk pools
- ☐ Automated exit plans and regular permission revokes